

For the difference equation $y_t - 2y_{t-1} = 1$ with initial condition $y_0 = 2$. Verify the qualitative nature of the system.

- ☐ A. Oscillatory, convergent & stable.
- ☒ B. Non-oscillatory, divergent & unstable. ✓
- ☐ C. Oscillatory, divergent & unstable.
- ☐ D. Non-oscillatory, convergent & stable.

Your answer is correct.

The correct answer is:

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The correct answer is:

Non-oscillatory, divergent & unstable.

Question 2

Incorrect

Mark 0.00 out of 1.00

Flag question

In the case of a pure monopoly market structure, when profit is maximized under the marginal approach?

- ☐ a. Marginal cost is equal to marginal revenue given price of the product curve is horizontal
- ☒ b. Marginal revenue is equal to marginal cost given marginal revenue curve is above the demand curve ✗
- ☐ c. Marginal revenue is equal to marginal cost but the marginal revenue curve is less than the demand curve of the firm
- ☐ d. Marginal revenue is greater than marginal cost but the marginal revenue curve is three times greater than the demand curve of the firm

The correct answer is: Marginal revenue is equal to marginal cost but the marginal revenue curve is less than the demand curve of the firm

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Question 3

Correct

Mark 1.00 out of 1.00

Flag question

Suppose a hypothetical company has the following mutually exclusive projects. Year: 0, 1, 2, 3, Project A: -\$7,500, \$4,000, \$3,500, \$1,500 and Project B: -\$5,000, \$2,500, \$1,200, \$3,000. Then what is the payback period of Project B?

- ☒ a. 2.4 Years ✓
- ☐ b. 3 Years
- ☐ c. 2.8 Years
- ☐ d. 2 Years

The correct answer is: 2.4 Years

Question 4

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following is not a common characteristic of developing countries?

- ☐ a. Excessive dependence on agriculture
- ☐ b. Low Level of capital formation
- ☒ c. Less social fractionalization ✓



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The correct answer is: 24 Years

Question 4

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following is not a common characteristic of developing countries?

- ☐ a. Excessive dependence on agriculture
- ☐ b. Low Level of capital formation
- ☒ c. Less social fractionalization ✓
- ☐ d. Low per-capita Income

The correct answer is: Less social fractionalization

Question 5

Correct

Mark 1.00 out of 1.00

According to the inverted U- hypothesis of Kuznets, as economies develop _____?

- ☒ a. Average household incomes first fall and later rises



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Question 5

Correct

Mark 1.00 out of 1.00

Flag question

According to the inverted U- hypothesis of Kuznets, as economies develop_____?

- ☐ a. Average household incomes first fall and later rises
- ☐ b. Industry's share of GNP first rises and later falls
- ☒ c. Income inequality first rises and later falls ✓
- ☐ d. The population growth rate first rises and later falls

The correct answer is: Income inequality first rises and later falls

Question 6

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is the correct flow from general to specific?

- ☒ a. Policy - Plan - Program - Project ✓
- ☐ b. Plan - Policy - Program - Project
- ☐ c. Policy - Program - Plan - Project
- ☐ d. Program - Project - Plan - Policy



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The correct answer is: Income inequality first rises and later falls

Question 6

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is the correct flow from general to specific?

- ☒ a. Policy - Plan - Program - Project ✓
- ☐ b. Plan - Policy - Program - Project
- ☐ c. Policy - Program - Plan - Project
- ☐ d. Program - Project - Plan - Policy

The correct answer is: Policy - Plan - Program - Project

Question 7

Correct

Mark 1.00 out of 1.00

Suppose Ethiopia imports good X from the US and exports good Y to the US, which of the following is correct if birr is depreciated?

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The correct answer is: Policy - Plan - Program - Project

Question 7

Correct

Mark 1.00 out of 1.00

Flag question

Suppose Ethiopia imports good X from the US and exports good Y to the US, which of the following is correct if birr is depreciated?

- a. Quantity demand for good X became the rise
- b. Price of good Y in terms of the dollar became decline ✓
- c. Quantity demand for good Y became decline
- d. Price of good X in terms of birr became decline

The correct answer is: Price of good Y in terms of the dollar became decline

Question 8

Correct

Balanced growth theories of Ragnar Nurkse advocate _____?



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Question 8

Correct

Mark 1.00 out of 1.00

Flag question

Balanced growth theories of Ragnar Nurkse advocate ____?

- ☐ a. A steady rate of growth of GNP
- ☐ b. Parity between capital stock and labor
- ☒ c. Simultaneous development of all sectors of the economy ✓
- ☐ d. A steady rate of growth of GNP and Parity between capital stock and labor

The correct answer is: Simultaneous development of all sectors of the economy

Question 9

Incorrect

Mark 0.00 out of 1.00

Remove flag

Which of the following statements is true?

- ☐ a. OLS is a model, whereas feasible GLS is an estimation method.
- ☐ b. OLS is an estimation method, whereas feasible GLS is a model.
- ☒ c. Both OLS and feasible GLS are models. ✗
- ☐ d. Both OLS and feasible GLS are estimation methods.

The correct answer is: Both OLS and feasible GLS are estimation methods.

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Question 10

Incorrect

Mark 0.00 out of 1.00

[Remove flag](#)

Indifference curves for bad commodities are;

- ☐ a. Downward straight lines
- ☐ b. Positively sloped lines
- ☐ c. Horizontal straight lines
- ☒ d. Concave upward lines

The correct answer is: Positively sloped lines

Question 11

Correct

Mark 1.00 out of 1.00

[Flag question](#)

A process is stationary if:

- ☐ a. any collection of random variables in a sequence is taken and shifted ahead by h time periods; the joint probability distribution changes
- ☒ b. any collection of random variables in a sequence is taken and shifted ahead by h time periods; the joint probability distribution remains unchanged
- ☐ c. there is a serial correlation between the error terms of successive time periods and the explanatory variables and the error terms have positive covariance.
- ☐ d. there is no serial correlation between the error terms of successive time periods and the explanatory

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QUESTION 12

Correct

Mark 1.00 out of 1.00

Remove flag

Assume the demand and the total cost function of the hypothetical monopolistic firm is given as $P = 24 - 3Q$ and $C = Q^2 + 8Q$ respectively. Which of the following is the rate of change of the profit function with respect to the tax rate, when a tax rate of 4 birr per unit of production is imposed?

- ☐ a. -3.5
- ☐ b. 3.8
- ☒ c. -1.5 ✓
- ☐ d. None

The correct answer is: -1.5

Question 13

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is not a possible cost of high fertility rates and rapid population growth?

- ☒ a. Increasing returns to natural resources, with a direct impact on average food consumption. ✓
- ☐ b. Increased urbanization and congestion.
- ☐ c. A higher labor force growth rate and higher unemployment.
- ☐ d. A working population that must support a larger number of dependents.

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Question 14

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following is not a policy proposal of the neoclassical counter-revolution school?

- ☐ a. Promoting free trade
- ☐ b. Privatizing state-owned enterprises.
- ☒ c. Well-coming multinational corporations ✖
- ☐ d. Promoting trade unions.

The correct answer is: Promoting trade unions.

Question 15

Correct

Mark 1.00 out of 1.00

Flag question

What is the type of price we use when the market prices are distorted?

- ☐ a. Absolute Price
- ☐ b. Relative Prices
- ☒ c. Shadow Price ✔
- ☐ d. Constant

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Question 16

Correct

Mark 1.00 out of 1.00

Flag question

If an independent variable in a multiple linear regression model is an exact linear combination of other independent variables, the model suffers from the problem of ____.

- a. perfect collinearity ✓
- b. homoskedasticity
- c. heteroskedasticity
- d. omitted variable bias

The correct answer is: perfect collinearity

Question 17

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following factors can be a criticism of the Hamdi-Domar model?

- a. The model ignores factors of labor productivity and technological innovation ✓
- b. It supports more investment and leads to capital accumulation.
- c. It assumes propensity to save and capital-output ratio are flexible.
- d. It is easy to increase the saving ratio in low-income countries.



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Question 18

Correct

Mark 1.00 out of 1.00

Flag question

Solve the equation $y - xy - x \frac{dy}{dx} = 0$

A. $y = e^{x(k-1)}$

B. $y = e^{kx-x}$

C. $y = xe^{k-x}$ ✓

D. $y = e^{k-x}$

Your answer is correct.

The correct answer is:

$y = xe^{k-x}$



Question 19

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is not a criticism of the H-O Theory?

- ☐ a. There are no qualitative differences in factors
- ☒ b. There is international mobility of factors ✓
- ☐ c. The technological conditions in a given country remain unchanged.
- ☐ d. Ignores the influences of transport costs, on the cost of production.

The correct answer is: There is international mobility of factors

Question 20

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is true about the effect of tariff imposition on imported commodities by the domestic government?

- ☐ a. It increases the domestic consumption of an imported commodity
- ☒ b. It decreases the demand for the domestic product ✓
- ☐ c. It increases the government revenue of the exporter country



My Exams

Question 20

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is true about the effect of tariff imposition on imported commodities by the domestic government?

- ☐ a. It increases the domestic consumption of an imported commodity
- ☐ b. It decreases the demand for the domestic product
- ☐ c. It increases the government revenue of the exporter country
- ☒ d. It increases the domestic production of commodities that compete with the imported commodity ✓

The correct answer is: It increases the domestic production of commodities that compete with the imported commodity

Question 21

Incorrect

Mark 0.00 out of 1.00

Flag question

Find the price elasticity of supply of the function $Q_s = 2P - 1$ when $P = 3$

- ☐ a. 2
- ☐ b. 3



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Question 21

Incorrect

Mark 0.00 out of 1.00

Flag question

Find the price elasticity of supply of the function $Q_s = 2P - 2$ when $P = 3$

- ☐ a. 2
- ☐ b. 3
- ☒ c. $1/3$ ✗
- ☐ d. $1/2$

The correct answer is: 3

Question 22

Incorrect

Mark 0.00 out of 1.00

Flag question

In econometrics, simultaneity arises when:

- a. strictly exogenous explanatory variables determine the dependent variable through a step-by-step process.
- b. the error term is correlated with both the dependent variable and explanatory variables. ✗
- c. One or more of the explanatory variables is jointly determined with the dependent variable.
- d. both serial correlation and heteroscedasticity are present in a hypothesized model.

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Question 25

Correct

Mark 1.00 out of 1.00

Flag question

Suppose a competitive firm has an AFC of 400 at 6 units of output and an AVC of 100 at 12 units of output. If the market price is 325 per unit, then what would be the total profit of the firm at 12 units of output?

- a. 325
- b. 300 ✓
- c. 200
- d. 250

The correct answer is: 300

Question 26

Incorrect

Mark 0.00 out of 1.00

Flag question

Which one of the following causes of inflation explains the structural one?

- a. Increase in price of labor.
- b. Rise in prices of imported material. ✗
- c. Bottlenecks on infrastructure.
- d. Increase in government spending.



Question 27

Correct

Mark 1.00 out of 1.00

Flag question

Organized family planning programs and the demand for birth control resulting from urbanization, modernization, economic development, and increased education have contributed to;

- ☒ a. A decline in fertility. ✓
- ☐ b. The demographic transition from stage 3 to stage 2.
- ☐ c. Increases in the ratio of labor to capital.
- ☐ d. An increase in the dependency ratio.

The correct answer is: A decline in fertility.

Question 28

Correct

Mark 1.00 out of 1.00

Flag question

According to the price criterion, a country is said to be capital abundant if;

- ☒ a. Relatively capital is cheap and labor is more expensive, compared with the other country. ✓
- ☐ b. Relatively capital is expensive and labor is cheaper, compared with the other country.
- ☐ c. Relatively both labour and capital are cheap, compared with the other country.
- ☐ d. None of the above



Question 29

Incorrect

Mark 0.00 out of 1.00

Flag question

The components of the Solow growth model are:

- ☒ a. Capital and technology as an indigenous variable. ✗
- ☐ b. Labour, capital, and technology as exogenous variables.
- ☐ c. Capital and technology as an exogenous variable.
- ☐ d. Labour, capital, and technology as indigenous variables

The correct answer is: Labour, capital, and technology as exogenous variables.

Question 30

Correct

Mark 1.00 out of 1.00

Flag question

A data set that consists of a sample of individuals, households, firms, cities, states, countries, or a variety of other units, taken at a given point in time, is called a

- ☒ a. cross-sectional data set ✓
- ☐ b. longitudinal data set
- ☐ c. time series data set
- ☐ d. experimental data set

Question 31

Correct

Mark 1.00 out of 1.00

Flag question

_____ is a form of integration in which there is free trade among members, common market policy, free factor mobility, and used common monetary and fiscal policies.

- ☐ a. Political integration
- ☐ b. Free trade area
- ☐ c. Custom union
- ☒ d. Economic integration ✓

The correct answer is: Economic integration

Question 32

Incorrect

Mark 0.00 out of 1.00

Flag question

In classic subsistence farming, land, and natural resources are considered as;

- ☐ a. Capital accumulation.
- ☐ b. Common property resources.
- ☒ c. Non-productible ✗
- ☐ d. Output

Question 39

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is true of dummy variables?

- ☐ a. A dummy variable always takes a value less than 1.
- ☐ b. A dummy variable always takes a value higher than 1.
- ☒ c. A dummy variable takes a value of 0 or 1. ✓
- ☐ d. A dummy variable takes a value of 1 or 10.

The correct answer is: A dummy variable takes a value of 0 or 1.

Question 40

Incorrect

Mark 0.00 out of 1.00

Flag question

If our country Ethiopia experiences drought and has to purchase wheat from the United States, *ceteris paribus*:

- ☐ a. The currencies of Ethiopia should appreciate, and the dollar should appreciate.
- ☐ b. The currencies of Ethiopia should appreciate, and the dollar should depreciate. ✗
- ☐ c. The currencies of Ethiopia should depreciate, and the dollar should appreciate.
- ☐ d. The currencies of Ethiopia should depreciate, and the dollar should depreciate.

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Correct

Mark 1.00 out of 1.00

Flag question

For classical economists, the quantity theory of money provided an explanation of movements in the price level. Movements in the price level result:

- ☒ a. Solely from changes in the quantity of money. ✓
- ☐ b. Primarily from changes in the quantity of money.
- ☐ c. Only partially from changes in the quantity of money.
- ☐ d. From changes in factors other than the quantity of money.

The correct answer is: Solely from changes in the quantity of money.

Question 42

Correct

Mark 1.00 out of 1.00

Flag question

A type of investment that includes the purchase of new housing both by people who plan to live in it themselves and by people who plan to rent it for others is _____?

- ☐ a. Business Fixed Investment
- ☐ b. Human Capital Investment
- ☒ c. Residential Investment ✓
- ☐ d. Inventory Investment



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Question 43

Correct

Mark 1.00 out of 1.00

Flag question

Find the differential coefficient of $2x^3 + 3x^2 + 5x + 30$

- ☒ A. $6x^2 + 6x + 5$ ✓
- ☐ B. $6x + 6x + 5$
- ☐ C. $6x^2 + 3x + 5$
- ☐ D. $2x + 3x + 5x + 30$

Your answer is correct.

The correct answer is:

$$6x^2 + 6x + 5$$

Question 44

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following is true about types of exchange rates?

- ☐ a. Floating exchange rate determined by the government
- ☒ b. Fixed exchange rate determined by the government ✓



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Question 44

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following is true about types of exchange rates?

- ☐ a. Floating exchange rate determined by the government.
- ☒ b. Fixed exchange rate determined by the government. ✓
- ☐ c. Fixed exchange rate determined by market forces.
- ☐ d. Floating exchange rate does not differ from the fixed exchange rate.

The correct answer is: Fixed exchange rate determined by the government.

Question 45

Correct

Mark 1.00 out of 1.00

Flag question

A stochastic process refers to a:

- ☒ a. sequence of random variables indexed by time. ✓
- ☐ b. sequence of variables that can take fixed qualitative values.
- ☐ c. sequence of random variables that can take binary values only.
- ☐ d. sequence of random variables estimated at the same point of time.



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Question 45

Correct

Mark 1.00 out of 1.00

Flag question

A stochastic process refers to a:

- ☒ a. sequence of random variables indexed by time. ✓
- ☐ b. sequence of variables that can take fixed qualitative values.
- ☐ c. sequence of random variables that can take binary values only.
- ☐ d. sequence of random variables estimated at the same point of time.

The correct answer is: sequence of random variables indexed by time.

Question 46

Correct

Mark 1.00 out of 1.00

Flag question

Malthus's theory was that population;

- ☐ a. Increased proportionally to economic growth.
- ☒ b. Increased geometrically, outstripping food supply, which grew arithmetically. ✓
- ☐ c. Increased stagnantly with food supply and economic development.
- ☐ d. Increased disproportionately, surpassing agricultural production.



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Question 47

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following is not correctly paired between a consumption theory and the person who founded it?

- ☒ a. Freidman - Relative Income Hypothesis ✓
- ☐ b. Freidman - Permanent Income Hypothesis
- ☐ c. Modigliani - Life Cycle Hypothesis
- ☐ d. Keynes - Absolute Income Hypothesis

The correct answer is: Freidman - Relative Income Hypothesis

Question 48

Correct

Mark 1.00 out of 1.00

Flag question

The emigration of highly-skilled people from developing countries is known as;

- ☒ a. The brain drain ✓
- ☐ b. Human capital deterioration.
- ☐ c. Productivity.
- ☐ d. Labour degradation.



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Question 48

Correct

Mark 1.00 out of 1.00

Flag question

The emigration of highly-skilled people from developing countries is known as

- ☒ a. The brain drain. ✓
- ☐ b. Human capital deterioration.
- ☐ c. Productivity.
- ☐ d. Labour degradation.

The correct answer is: The brain drain.

Question 49

Correct

Mark 1.00 out of 1.00

Flag question

If bad credit risks are the ones that most actively seek loans and, therefore, receive them from financial intermediaries, then financial intermediaries face the problem of

- ☐ a. Moral hazard
- ☒ b. Adverse selection ✓
- ☐ c. Free riding
- ☐ d. Costly state verification



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W1DC

Question 50

Correct

Mark 1.00 out of 1.00

Flag question

Keynes made the following conjectures about the consumption function, except;

- ☐ a. Income is the primary determinant of consumption.
- ☐ b. Marginal propensity to consume is between 0 and 1.
- ☐ c. Average propensity to consume falls as income increases.
- ☒ d. Interest rate is the primary determinant of consumption. ✓

The correct answer is: Interest rate is the primary determinant of consumption.

Question 51

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following approaches does not offer an international dependence explanation of underdevelopment?

- ☐ a. The false paradigm model
- ☒ b. The neoclassical counter-revolution ✓
- ☐ c. The dualistic development model
- ☐ d. The neo-colonial dependence model



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WIDOW

Question 52

Incorrect

Mark 0.00 out of 1.00

Flag question

According to Posner technological gap model, trade among the industrialized countries is based on:

- ☐ a. Producing more output at a lower cost
- ☐ b. Introducing new production processes
- ☐ c. Difference in taste and preference
- ☒ d. All of the above ✖

The correct answer is: Introducing new production processes

Question 53

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following government policies results in a right shift of the aggregate demand curve?

- ☐ a. Decrease in government expenditure
- ☐ b. Increase in government tax
- ☒ c. Decrease in the money supply
- ☐ d. Decrease in government tax ✔



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W1DOW

DELL

Question 54

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following statement is true about the rural and agricultural development of the countries?

- ☐ a. Rural development is the same as agricultural development.
- ☒ b. The agrarian community requires a full range of services such as schools, merchants, banks, and so on. ✗
- ☐ c. Household nonfarm income is uncorrelated to farm productivity and household incomes in Kenya.
- ☐ d. China's rural population receives little income from nonfarm income.

The correct answer is: Rural development is the same as agricultural development.

Question 55

Correct

Mark 1.00 out of 1.00

Flag question

The sources of market failure are all of the following except:

- ☐ a. the existence of public goods.
- ☐ b. the presence of external costs and benefits
- ☐ c. imperfect information.
- ☒ d. None of the above. ✓



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Question 56

Correct

Mark 1.00 out of 1.00

Flag question

Consider the following regression model: $y_i = \beta_0 + \beta_1 x_i + u_i$. If the first four Gauss-Markov assumptions hold true, and the error term contains heteroskedasticity, then _____

- ☐ a. $\text{Var}(u_i|x_i) = 0$
- ☐ b. $\text{Var}(u_i|x_i) = 1$
- ☒ c. $\text{Var}(u_i|x_i) = \sigma^2$ ✓
- ☐ d. $\text{Var}(u_i|x_i) = \sigma$

The correct answer is: $\text{Var}(u_i|x_i) = \sigma^2$

Question 57

Correct

Mark 1.00 out of 1.00

Remove flag

A plot of quantity demanded against income is called _____.

- ☐ a. Price consumption curve
- ☐ b. Income consumption curve
- ☐ c. Income offer curve
- ☒ d. Engel curve. ✓



Type here to search



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DELL

Question 58

Correct

Mark 1.00 out of 1.00

Flag question

The Gini coefficient is a measure of _____?

- ☐ a. Poverty
- ☒ b. Relative inequality of income ✓
- ☐ c. Disguised unemployment
- ☐ d. Rate of growth

The correct answer is: Relative inequality of income

Question 59

Correct

Mark 1.00 out of 1.00

Flag question

Suppose that today 1 British pound is exchanged for \$1.60. If next week 1 pound exchanges for \$1.70, it is clear that:

- a. The pound has depreciated relative to the dollar.
- b. The dollar has appreciated relative to the pound.
- c. Both currencies have appreciated.
- ☒ d. The dollar has depreciated relative to the pound. ✓



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W1DOW -0

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Question 60

Correct

Mark 1.00 out of 1.00

Flag question

The functions of money which show transferring of purchasing power from the present to the future is _____?

- ☐ a. Unit of Account.
- ☐ b. Medium of Exchange.
- ☒ c. Store of Value. ✓
- ☐ d. Differed Payment.

The correct answer is: Store of Value.

Question 61

Correct

Mark 1.00 out of 1.00

Flag question

Financial intermediaries:

- ☒ a. Provide a channel for linking those who want to save with those who want to invest. ✓
- ☐ b. Produce nothing of value and are therefore a drain on society's resources.
- ☐ c. Can hurt the performance of the economy.
- ☐ d. Hold very little of the average American's wealth.

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W1DOW -0.1

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Question 62

Correct

Mark 1.00 out of 1.00

Flag question

If the residual sum of squares (SSR) in a regression analysis is 66 and the total sum of squares (SST) is equal to 90, what is the value of the coefficient of determination?

- ☐ a. 0.73
- ☐ b. 0.55
- ☒ c. 0.27 ✓
- ☐ d. 1.2

The correct answer is: 0.27

Question 63

Correct

Mark 1.00 out of 1.00

Flag question

The following simple model is used to determine the annual savings of an individual on the basis of his annual income and education. $\text{Savings} = \beta_0 + \beta_1 \text{Edu} + \beta_2 \text{Inc} + u$. The variable 'Edu' takes a value of 1 if the person is educated and the variable 'Inc' measures the income of the individual. Refer to the model above. The inclusion of another binary variable in this model that takes a value of 1 if a person is uneducated, will give rise to the problem of _____.

- a. omitted variable bias

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W1DOW -0.13

Question 64

Incorrect

Mark 0.00 out of 1.00

Flag question

The goal of the Bretton Woods Agreement was,

- ☐ a. Exchange rate stability without the gold standard.
- ☐ b. The creation of the IMF and the World Bank.
- ☐ c. To design a post-war international monetary system
- ☒ d. All of the above ✖

The correct answer is: Exchange rate stability without the gold standard.

Question 65

Correct

Mark 1.00 out of 1.00

Flag question

A measure of increased output associated with an increase in all inputs is _____.

- ☐ a. The law of variable proportions
- ☐ b. The law of diminishing marginal returns
- ☒ c. The law of returns to scale ✔
- ☐ d. The law of diminishing marginal utility

Type here to search



W1DOW -0.13%

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Question 66

Incorrect

Mark 0.00 out of 1.00

 Remove flag

The act of using skills, tools, and other resources to get a project from start to finish is called:

- ☐ a. A project
- ☐ b. Project management
- ☐ c. Conflict
- ☒ d. Project resolution ✖

The correct answer is: Project management

Question 67

Correct

Mark 1.00 out of 1.00

 Flag question

In which stage of production, mass-production techniques are developed and foreign demand expands?

- ☐ a. New product stage
- ☐ b. Standardized product stage
- ☒ c. Maturing product stage ✔
- ☐ d. None of the above



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DELL

Question 68

Incorrect

Mark 0.00 out of 1.00

Flag question

A depreciation of the Ethiopian birr against the U.S. dollar will:

- ☐ a. Raise the dollar price of Ethiopian goods.
- ☒ b. Raise the birr price of U.S. goods. ✖
- ☐ c. Lower the dollar price of U.S. goods.
- ☐ d. Lower the won price of Ethiopian goods.

The correct answer is: Lower the dollar price of U.S. goods.

Question 69

Incorrect

Mark 0.00 out of 1.00

Flag question

If total revenue, $TR = 100 - 100Q^2$, then what is the marginal revenue?

A. $MR = 100Q$

B. $MR = 100Q^2$

☒ C. $MR = 200Q$ ✖

D. $MR = 200Q^2$



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DELL

Question 70

Incorrect

Mark 0.00 out of 1.00

Remove flag

Take the following hypothetical project. Year 0, 1, 2, 3, 4 and Cash Flow: -250,000, 66,000, 78,000, 92,000, 105,000. What is the internal rate of return (IRR) of this project?

- ☐ a. 10.2%
- ☒ b. 10%✗
- ☐ c. -2.7%
- ☐ d. 12.6%

The correct answer is: 12.6%

Question 71

Correct

Mark 1.00 out of 1.00

Flag question

The primary liabilities of a commercial bank are:

- a. Bonds
- b. Mortgages
- c. Deposits✓
- d. Commercial papers



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DELL

Question 72

Incorrect

Mark 0.00 out of 1.00

Remove flag

The type of tariff in which a country imposes import duties with a view to offset export subsidizing in the country of origin.

- ☒ a. Protective tariffs ✗
- ☐ b. Retaliatory tariffs
- ☐ c. Countervailing tariffs
- ☐ d. Revenue tariffs

The correct answer is: Revenue tariffs

Question 73

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following statements is the best description of macroeconomics?

- ☐ a. Analysis of how a consumer tries to spend income.
- ☒ b. It focuses on the study of the large aggregates of the economy. ✓
- ☐ c. Analysis of how firms attempt to maximize their profits.
- ☐ d. Study of how supply and demand determine individual prices.

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Question 74

Correct

Mark 1.00 out of 1.00

Flag question

An increase in the price of the U.S. dollar in terms of Ethiopian birr will cause, *ceteris paribus*:

- ☐ a. A lower Ethiopian inflation rate.
- ☐ b. Higher interest rates in the United States.
- ☒ c. Ethiopian goods to be cheaper to residents of the United States. ✓
- ☐ d. All of the above.

The correct answer is: Ethiopian goods to be cheaper to residents of the United States.

Question 75

Correct

Mark 1.00 out of 1.00

Flag question

The Keynesian theory of money demand emphasizes the importance of:

- ☐ a. A constant velocity.
- ☐ b. Irrational behavior on the part of some economic agents.
- ☒ c. Interest rates on the demand for money. ✓
- ☐ d. Expectations.

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Question 76

Correct

Mark 1.00 out of 1.00

Flag question

When is it, not the case that some goods are classified as non-tradable goods?

- ☐ a. When products have an endogenous taste
- ☐ b. When the quality performance of products is low
- ☐ c. When there are trade barriers by policy
- ☒ d. When goods are produced with advanced technology ✓

The correct answer is: When goods are produced with advanced technology

Question 77

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following is the first step in empirical economic analysis?

- ☒ a. Collection of data ✗
- ☐ b. Statement of hypotheses
- ☐ c. Specification of an econometric model
- ☐ d. Testing of hypotheses



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Question 78

Correct

Mark 1.00 out of 1.00

Flag question

Among the following alternatives which one is true about the short-run cost of production?

- ☐ a. Short run average cost curve is S-shaped
- ☐ b. Short-run total cost curve starts from the origin
- ☐ c. Short-run total fixed cost curve starts from the origin
- ☒ d. Short-run total variable cost curve starts from the origin ✓

The correct answer is: Short-run total variable cost curve starts from the origin

Question 79

Correct

Mark 1.00 out of 1.00

Flag question

The conversion of a barter economy to one that uses money,

- ☐ a. Increases efficiency by reducing the need to exchange goods and services.
- ☐ b. Increases efficiency by reducing the need to specialize.
- ☒ c. Increases efficiency by reducing transaction costs. ✓
- ☐ d. Does not increase economic efficiency.

Show one page

Finish review

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Question 80

Correct

Mark 1.00 out of 1.00

Remove flag

What is the stage of project analysis that helps to check whether the project is *prima facie* worthwhile?

- ☐ a. Identification Stage
- ☐ b. Feasibility Study Stage
- ☒ c. Pre-Feasibility Study Stage ✓
- ☐ d. Investment Stage

The correct answer is: Pre-Feasibility Study Stage

Question 81

Correct

Mark 1.00 out of 1.00

Flag question

When does a firm close down its business in the short run under a perfectly competitive market structure?

- a. When it is unable to cover its average total cost
- ☒ b. When it is unable to cover its average variable cost ✓
- c. When it is unable to cover its total cost of production for her/his produce
- d. When the price of the commodity produced by the firm is greater than the average total cost

64	✓
71	✓
78	✓
85	✓
86	✓
92	✓
93	✓
99	✓
100	✓

Show one page

Finish review

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Question 82

Correct

Mark 1.00 out of 1.00

Flag question

The parameters of an econometric model _____.

- ☐ a. include all unobserved factors affecting the variable being studied
- ☒ b. describe the strength of the relationship between the variable under study and the factors affecting it ✓
- ☐ c. refer to the explanatory variables included in the model
- ☐ d. refer to the predictions that can be made using the model

The correct answer is: describe the strength of the relationship between the variable under study and the factors affecting it

Question 83

Correct

Mark 1.00 out of 1.00

Flag question

Does GDP the deflator differ from the consumer price index because of _____?

- ☐ a. It measures the prices of all goods and services imported.
- ☐ b. It measures the prices of only the goods bought by consumers.
- ☒ c. It includes only those goods produced domestically. ✓
- ☐ d. Assigns fixed weights to the prices of different goods.

5	✓
64	
71	✓
78	✓
85	✓
92	✓
99	✓
100	✓

Show one page

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Question 84

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is true about the condition where the output (Y) is greater than domestic spending (A)?

- ☒ a. Net export is greater than zero ✓
- ☐ b. Balance of trade is less than zero
- ☐ c. Net export is less than zero
- ☐ d. None of the above

The correct answer is: Net export is greater than zero

Question 85

Correct

Mark 1.00 out of 1.00

Flag question

Externalities may be internalized by:

- ☒ a. Taxes and subsidies.
- ☒ b. Regulation of production level.
- ☒ c. Legal rules and procedures.
- ☒ d. All of the above ✓

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Question 86

Correct

Mark 1.00 out of 1.00

Flag question

Refer to the following model. $y_t = \alpha_0 + \beta_0 s_t + \beta_1 s_{t-1} + \beta_2 s_{t-2} + \beta_3 s_{t-3} + u_t$ This is an example of a :

- ☐ a. infinite distributed lag model.
- ☐ b. finite distributed lag model of order 1.
- ☐ c. finite distributed lag model of order 2.
- ☒ d. finite distributed lag model of order 3. ✓

The correct answer is: finite distributed lag model of order 3.

Question 87

Correct

Mark 1.00 out of 1.00

Remove flag

In which Rostow growth model stage was decisive sustainable economic growth?

- ☐ a. Pre-condition
- ☐ b. Maturity
- ☐ c. High mass consumption
- ☒ d. Take-off ✓



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DELL

Question 88

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following is true about fiscal and monetary policy effect on change in income under floating and exchange rate of Mundell-Fleming model?

- ☒ a. Under a fixed exchange rate fiscal policy is effective. ✓
- ☐ b. Under a fixed exchange rate monetary policy is effective
- ☐ c. Under a floating exchange rate monetary policy is ineffective.
- ☐ d. Under a floating exchange rate fiscal policy is effective.

The correct answer is: Under a fixed exchange rate fiscal policy is effective.

Question 89

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following determinants of the supply of money is known by high-powered money?

- ☐ a. Reserve deposit ratio
- ☐ b. Currency deposit ratio
- ☒ c. Monetary base ✓



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w1b0w -0.13%

DELL

The correct answer is: Under a fixed exchange rate fiscal policy is effective.

Question 89

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following determinants of the supply of money is known by high-powered money?

- ☐ a. Reserve deposit ratio
- ☐ b. Currency deposit ratio
- ☒ c. Monetary base ✓
- ☐ d. Open market operation

The correct answer is: Monetary base

Question 90

Correct

Which of the following is true of R2?

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Question 89

Correct

Mark 1.00 out of 1.00

Flag question

Which one of the following determinants of the supply of money is known by high-powered money?

- ☐ a. Reserve deposit ratio
- ☐ b. Currency deposit ratio
- ☒ c. Monetary base ✓
- ☐ d. Open market operation

The correct answer is: Monetary base

Question 90

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is true of R^2 ?

- ☐ a. R^2 is also called the standard error of the regression.
- ☐ b. A low R^2 indicates that the Ordinary Least Squares line fits the data well.
- ☐ c. R^2 usually decreases with an increase in the number of independent variables in a regression.
- ☒ d. R^2 shows what percentage of the total variation in the dependent variable, Y , is explained by the explanatory variables. ✓

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W1DCW -0.13%

DELL

Question 91

Incorrect

Mark 0.00 out of 1.00

Flag question

Flexible Exchange Rate Regimes are preferable where:

- ☐ a. Countries economy (GDP) size is Small
- ☐ b. The inflation rate is divergent from other countries
- ☐ c. Countries experienced a concentrated trade
- ☒ d. All of the above ✖

The correct answer is: The inflation rate is divergent from other countries

Question 92

Incorrect

Mark 0.00 out of 1.00

Flag question

Securities are _____ for the person who buys them, but are _____ for the individual or firm that issues them.

- a. assets; liabilities
- ☒ b. liabilities; assets ✖
- c. negotiable; non-negotiable
- d. non-negotiable; negotiable

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My Exams

Question 92

Incorrect

Mark 0.00 out of 1.00

Flag question

Securities are _____ for the person who buys them, but are _____ for the individual or firm that issues them.

- ☐ a. assets; liabilities
- ☒ b. liabilities; assets ✗
- ☐ c. negotiable; non-negotiable
- ☐ d. non-negotiable; negotiable

The correct answer is: assets; liabilities

Question 93

Correct

Mark 1.00 out of 1.00

Flag question

The monetary base consists of;

- a. Currency in circulation and Federal Reserve notes.
- b. Currency in circulation and the U.S. Treasury's monetary liabilities.
- c. Currency in circulation and reserves. ✓
- d. Reserves and Federal Reserve Notes.

The correct answer is: Currency in circulation and reserves

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AW01

Question 94

Correct

Mark 1.00 out of 1.00

Flag question

The three players in the money supply process include;

- ☐ a. Banks, depositors, and the U.S. Treasury.
- ☐ b. Banks, depositors, and borrowers.
- ☒ c. Banks, depositors, and the central bank. ✓
- ☐ d. Banks, borrowers, and the central bank.

The correct answer is: Banks, depositors, and the central bank.

Question 95

Correct

Mark 1.00 out of 1.00

Flag question

A moral hazard is an information problem that arises when:

- ☐ a. A buyer or a seller enters into an exchange with another party who has more information.
- ☐ b. High-quality goods tend to disappear, leaving only low-quality goods in the market.
- ☒ c. A party to a contract passes the cost of his or her behavior on to the other party to the contract. ✓
- ☐ d. Only social pressure or moral responsibility forces people to make voluntary payments.



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Question 96

Correct

Mark 1.00 out of 1.00

Flag question

What is the policy implication of the Philips curve?

- ☐ a. A policy aimed at decreasing inflation can also decrease unemployment.
- ☒ b. If policymakers want to increase unemployment, then they must compromise inflation. ✓
- ☐ c. Monetary policy is unnecessary.
- ☐ d. Both low inflation and low unemployment can be achieved at a time.

The correct answer is: If policymakers want to increase unemployment, then they must compromise inflation.

Question 97

Incorrect

Mark 0.00 out of 1.00

Remove flag

For the function $f(x_1, x_2) = x_1x_2 + 5x_1 + 10x_2 - 0.5x_1^2 - 3x_2^2$ find the value of x_1 & x_2 , which makes stationary and determine whether the function is maximum or minimum at the stationary (critical) point.

- ☒ A. $x_1 = 3$ & $x_2 = 8$, points show point of max. ✗
- ☐ B. $x_1 = 8$ & $x_2 = 3$, points show point of max.

Type here to search



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Question 97

Incorrect

Mark 0.00 out of 1.00

 Remove flag

For the function $f(x_1, x_2) = x_1x_2 + 5x_1 + 10x_2 - 0.5x_1^2 - 3x_2^2$ find the value of x_1 & x_2 , which makes stationary and determine whether the function is maximum or minimum at the stationary (critical) point.

- ☒ A. $x_1 = 3$ & $x_2 = 8$, points show point of max. ✗
- ☐ B. $x_1 = 8$ & $x_2 = 3$, points show point of max.
- ☐ C. $x_1 = 2$ & $x_2 = -3$, points show point of max.
- ☐ D. $x_1 = -4$ & $x_2 = 1$, points show point of max.

Your answer is incorrect.

The correct answer is:

$x_1 = 8$ & $x_2 = 3$, points show point of max.



Type here to search



DELL

Question 98

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is the preferred strategy of the monopolistic competitor to achieve market power?

- ☐ a. Expand plant size in order to achieve economies of scale.
- ☐ b. Try to charge the lowest price possible.
- ☐ c. Try to minimize the cost of production.
- ☒ d. Try to produce a unique product or establish a good reputation. ✓
- ☐ e. Try to reproduce the output of other firms as accurately as possible

The correct answer is: Try to produce a unique product or establish a good reputation.

Question 99

Correct

Mark 1.00 out of 1.00

Flag question

Inefficient allocation of resources that occurs because households do not know all there is to know about product availability, quality, and price and firms do not know all there is to know about factor availability, quality, and the price is termed market failure due to:

- ☐ a. imperfect markets.
- ☒ b. imperfect information. ✓
- ☐ c. externalities.



Question 99

Correct

Mark 1.00 out of 1.00

Flag question

Inefficient allocation of resources that occurs because households do not know all there is to know about product availability, quality, and price and firms do not know all there is to know about factor availability, quality, and the price is termed market failure due to:

- ☐ a. imperfect markets.
- ☒ b. imperfect information. ✓
- ☐ c. externalities.
- ☐ d. public goods.

The correct answer is: imperfect information.

Question 100

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following arguments is against protection

- ☐ a. Diversification of industry argument
- ☒ b. Avoid unfair competition ✗
- ☐ c. Balance of payments argument

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My Exams

Question 23

Correct

Mark 1.00 out of 1.00

Flag question

The model $G(z) = [\exp(z)]/[1 + \exp(z)]$, where G is between zero and one for all real numbers ' z ', represents a:

- ☒ a. logit model. ✓
- ☐ b. probit model.
- ☐ c. Tobit model.
- ☐ d. linear probability model.

The correct answer is: logit model.

Question 24

Correct

Mark 1.00 out of 1.00

Flag question

Real investment spending includes three broad components except

- ☐ a. Business fixed investment
- ☐ b. Residential investment
- ☐ c. Inventory investment
- ☒ d. Portfolio investment ✓

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WIDOW -0.13%

Question 100

Incorrect

Mark 0.00 out of 1.00

Flag question

The correct answer is: imperfect information.

Which of the following arguments is against protection

- ☐ a. Diversification of industry argument
- ☒ b. Avoid unfair competition **X**
- ☐ c. Balance of payments argument
- ☐ d. Inefficiency in world resource allocation

The correct answer is: Inefficiency in world resource allocation.

Finish review



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AW01

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